

Early in 1939 the stock was selling at about \$6, representing a total valuation of \$1,000,000 for 161,000 shares comprising the entire capitalization. The December 31, 1938, balance sheet is summarized in the appended table.

Assets		Liabilities	
Fixed and miscellaneous assets (net)	\$2,794,000	Current liabilities	\$176,000
Cash assets	1,155,000	Capital stock and surplus	<u>4,734,000</u>
Other current assets	961,000		\$4,910,000
	<u>\$4,910,000</u>		
(Net) Cash assets per share	\$6.07		
Net current assets per share	12.05		
Net tangible assets per share	29.33		

The company was engaged in the distribution of petroleum products in Nebraska. It was carrying on an annual business of some \$5,000,000 without appreciable profit. For the years 1935–1938 the reported earnings before depreciation averaged \$0.69 per share; after “expended depreciation” there was an average profit of \$0.39 per share; and after depreciation as taken by the company there was an average loss of \$0.39 per share.

Here was a company clearly selling for much less than liquidating value, the reason being its unsatisfactory earnings record. There was good reason to believe, however, that the company was really worth more than bare liquidating value, because the outlet it provided for gasoline, etc., would make its numerous retail and bulk stations a desirable acquisition for some large refining company.

In April 1939 private interests offered to pay \$12 per share for 66²/₃% of the outstanding stock. This bid failed of acceptance by a sufficient majority, but it was followed immediately by an offer to pay \$17.50 per share, made by Standard Oil Company of Indiana, the refiner that had been supplying Standard Oil Company of Nebraska with its gasoline and that evidently was loath to lose this important outlet. The deal was promptly ratified; hence the stock of Standard Oil Company of Nebraska nearly tripled in value during a four-month’s period in which the general market had suffered a decline.⁵

⁵ See I. Benesch and Sons, and United Shipyards “A” in the table in Chap. 44 for other examples of a rise in price due to sale of properties.